



Pillar Two and Developing Countries: The STTR and GloBE Implementation

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Abstract: *This paper argues that the Subject to Tax Rule, which was noted as an ‘integral part of achieving consensus on Pillar Two for developing countries’, is unlikely to raise significant revenue for low-income countries. This is because it is within both the power and interests of another actor (either the developing country’s treaty partner, or the relevant MNE) to produce an outcome under which the STTR will not apply. In order to retain support for Pillar Two from developing countries, the Inclusive Framework should explore mechanisms of providing tangible benefits to developing countries under the implementation of the GloBE Rules. This paper considers three potential options which could be adopted as part of implementation and which do not require amending the GloBE Rules. These proposals allow developing countries to leverage the GloBE infrastructure (as well as the administrative capacity of revenue authorities in developed states) to improve the integrity of their tax bases as well as to raise additional revenue if they choose to do so.*

Introduction

The 8 October Statement of 2021 stated that the Subject to Tax Rule (STTR) was an ‘integral part of achieving consensus on Pillar Two for developing countries’.¹ The ‘Detailed Implementation Plan’ in the Annex of the 8 October Statement indicated that a model provision for the STTR would be released at the same time as the GloBE Rules.² This has not been achieved. The GloBE Model Rules were released on 20 December 2021 and the accompanying Commentary was released in March 2022. As of mid-September 2022, there has not yet been a subsequent release with respect to the STTR. This paper asks whether, and to what extent, the STTR will assist developing countries.³ It then asks how, if the STTR will not provide a significant direct benefit, the GloBE Rules could be implemented in a way that is beneficial to developing countries.

In Part I, I argue that the STTR as part of Pillar Two is unlikely to provide significant revenue benefits to developing countries. This outcome arises because it is likely to be within the power of another actor (either the developing country’s treaty partner, or the relevant MNE) to produce an outcome under which the STTR will not apply. Where the STTR treaty provision applies, it allows a developing country to impose a gross-basis withholding tax to outgoing payments. However, both the MNE and the recipient jurisdiction can be better off by adapting their structures or tax rates to prevent the STTR from applying. While this does not mean that the STTR will never raise revenue, it restricts the circumstances in which developing countries can expect to receive a direct revenue benefit. Furthermore, the STTR is unlikely to have a significant indirect effect in reducing profit shifting or tax competition in addition to the incentives which arise under the GloBE Rules.

In Part II, I argue that the October 2021 Inclusive Framework Statement makes clear that there was an expectation for developing countries to benefit from Pillar Two beyond the indirect effects of limiting BEPS and tax competition which arise under the GloBE Rules. In light of the analysis in Part I, it is

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¹ OECD (2021), ‘Statement on a Two-Pillar Solution to Address the Tax Challenges Arising from the Digitalisation of the Economy’, 8 October 2021, OECD, Paris, p. 5 (‘October 2021 Inclusive Framework Statement’).

² October 2021 Inclusive Framework Statement, above n 1, p. 7.

³ This paper adopts the terminology of ‘developing countries’ which is used by the Inclusive Framework. This is defined in the 8 October Statement to be those countries with GNI per capita calculated using the World Bank Atlas method of USD 12 535 in 2019.

appropriate to explore avenues through which the implementation of the GloBE Rules can provide tangible benefits to developing countries. If at all possible, these options should not require revisiting the GloBE Model Rules. To this end, I argue that (a) source countries should be entitled to adopt qualified domestic minimum top-up taxes (**QDMTTs**) which apply ahead of any CFC rules (to the extent this is not already included in the rules), (b) developing countries should be able to adopt QDMTTs at a tax rate higher than 15% and (c) developing countries which adopt QDMTTs should be able to opt out of having their jurisdictions be subject to simplification procedures which may be agreed as part of implementation.

Part I: The Subject to Tax Rule

The STTR is envisaged as a rule which would be incorporated into tax treaties that expands the taxing rights of ‘source’ countries under the treaties. It would allow the source country to impose additional withholding tax when the relevant conditions are met. While the details of these conditions are yet to be released, there are some broad contours which were announced in the October 2021 Inclusive Framework Statement. The amount of detail is sufficiently limited that it can be reproduced in full:

Subject to tax rule (STTR)

IF members recognise that the STTR is an integral part of achieving a consensus on Pillar Two for developing countries. (fn) IF members that apply nominal corporate income tax rates below the STTR minimum rate to interest, royalties and a defined set of other payments would implement the STTR into their bilateral treaties with developing IF members when requested to do so.

The taxing right will be limited to the difference between the minimum rate and the tax rate on the payment.

The minimum rate for the STTR will be 9%.

(fn) For this purpose, developing countries are defined as those with a GNI per capita, calculated using the World Bank Atlas method, of USD 12 535 or less in 2019 to be regularly updated.⁴

This means that developing countries can require any treaty partner which signs up to the Inclusive Framework deal to update their treaties to include the new provision.⁵ The provision would operate by

⁴ October 2021 Inclusive Framework Statement, above n 1, p. 5.

⁵ There is nothing in this language to suggest that developing countries could not require the STTR to be inserted into their treaties with other developing countries.

calculating the ‘nominal corporate income tax rate’ in each country for the covered payments.⁶ If that nominal corporate income tax rate is below 9%, relevant payments to that country can be subject to a gross-basis withholding tax equal to the difference between the nominal rate and 9%.⁷

This is best demonstrated by an example.

A developing country (State A) has a tax treaty with State B. Under that existing treaty, State A is not entitled to impose withholding tax on payments of interest or royalties to tax residents of State B. State B has a tax rate of 5% which applies to all income. An interest payment of \$100 is made from an entity which is tax resident in State A to an entity which is tax resident in State B. The STTR would expand the taxing rights of State A such that it would be entitled to impose a gross-basis withholding tax of 4% on the payment (9% - 5%).

It is important to note that the STTR treaty change would not *itself* impose this tax. Even if the relevant states ratified an MLI-type instrument to implement the STTR, it would simply insert the taxing right into the relevant treaty. The developing country would also need to create a domestic tax provision which would impose the withholding tax in this case. It is important to distinguish the STTR as part of Pillar Two (which simply makes the treaty change) from a domestic law implementation of an STTR which would seek to actually impose such a withholding tax.

When does it make a difference?

As noted above, the STTR as part of Pillar Two would only amend relevant tax treaties. It is open for any country to adopt the domestic law provisions already. That is, any country can, without Pillar Two, adopt a domestic withholding tax regime which applies as envisaged by the STTR. The only limitation is that such a withholding tax would be inapplicable where a tax treaty limits the level of withholding tax to an amount less than 9%. Put differently, any developing country can currently legislate such a withholding tax into their domestic law. However, payments which are subject to treaty protection which did not allow such a withholding tax would not be subject to the tax (that is, the MNE could claim treaty protection).

⁶ The analysis in this article assumes that ‘Covered Payments’ includes interest, royalties and payments of a similar kind. It does consider the impact of the STTR if it were to be extended to include capital gains.

⁷ The 8 October Statement does not make clear how the STTR is intended to interact with any existing right under a treaty to impose withholding tax. It is assumed for the purposes of this article that any STTR taxing right would be reduced by a pre-existing tax treaty right. For instance, if there was already a right in the treaty to impose a 5% withholding tax on royalty payments, the expanded STTR right would be limited to 4% (and not be applied in addition to the existing 5%). This is consistent with the approach outlined in the Pillar Two Blueprint of October 2020 (see paragraph [651]).

On this basis we can split the possible scenarios into four cases with respect to each payment type and consider whether the STTR under Pillar Two has any direct impact (the argument that the STTR produces an indirect effect by reducing incentives for BEPS, is addressed below). Recall that only developing countries can compel a treaty partner to include the STTR in their tax treaties.

Pillar Two impact on imposing an STTR

	Applicable Treaty	No Applicable Treaty
Nominal Tax Rate on relevant payments of 9% or greater in payee jurisdiction	No Impact	No Impact
Nominal Tax Rate on relevant payments below 9% in payee jurisdiction	Expanded taxing right	No Impact

In three of these four cases, the incorporation of the STTR into Pillar Two has no direct impact. If the payee jurisdiction already has a nominal rate of 9% or above, there will be no ability to impose the additional STTR tax (regardless of treaty change). If the payee jurisdiction is not a treaty partner then there is nothing preventing the developing country from imposing the STTR under its domestic law. Accordingly, the only direct impact of the STTR as part of Pillar Two is where a developing country has a treaty with a country which imposes a nominal rate of below 9%.

Empirical work by Suranjali Tandon utilising the International Centre for Tax and Development tax treaty database has indicated that there are a significant number of tax treaties with developing countries that have withholding rates below 9% on interest and royalties.⁸ While this research identifies treaties where relevant withholding rates are below 9%, it is not clear whether payments of interest and royalties (or other potential covered payments) received in these jurisdictions are subject to nominal tax rates of below 9%. Without this information, it is unclear whether payments between these states would be subject to an STTR.

Forthcoming work from ex-Deputy Director of the IMF Fiscal Affairs Department, Victoria Perry, has analysed the tax treaty networks of Sub-Saharan Africa. This analysis indicates that in Sub-Saharan Africa

⁸ Suranjali Tandon, The Need for Global Minimum Tax: Assessing Pillar Two Reform, 50(5) *Intertax* 396, 401.

the STTR may apply to treaties between developing countries and a set of key hub jurisdictions including Mauritius, the Seychelles, the Netherlands, Luxembourg, Switzerland and Singapore.⁹

State Strategic Responses

From the above analyses, the real concern here is key tax ‘hubs’. These are states that have low tax rates (because they must have a nominal rate below 9% on covered payments) and can have significant tax treaty networks. With respect to low tax states without treaty networks, developing countries can already impose the tax without a Pillar Two treaty change. However, it is important to consider how low tax hubs (with treaty networks) might strategically respond to the adoption of the STTR within Pillar Two.

Consider the following example:

State A that has a nominal rate of tax on interest and royalties of 1%. It also has a treaty network which includes developing countries as defined within the October 2021 Inclusive Framework Statement and which have withholding rates on covered payments below 9%. State A expects that, at least some of its developing country treaty partners will request the STTR to be inserted into its treaties. State A is considering three options:

- | | |
|-----------------|--|
| Option A | State A retains its domestic tax system. It allows its tax treaties with developing countries to be updated for the STTR and for the developing countries to impose gross basis withholding taxes on covered payments. |
| Option B | State A raises its nominal tax rate on covered payments to 9%. |
| Option C | State A refuses to join the Inclusive Framework deal. It retains its domestic tax system and does not update its tax treaties to allow for the STTR. |

What should State A, a low tax ‘hub’ jurisdiction, do?

⁹ See Victoria Perry, presentation to the Joint Meeting of the UK and US Branches of the International Fiscal Association on 2 September 2022, copy on file with author.

The following table sets out the key impacts of each option:

	A - Retain nominal tax rate (1%) and relevant treaties are updated for STTR	B - Raise <i>nominal</i> tax rate on Covered Payments to 9%	C - Refuse to join Inclusive Framework 'deal'
Impact on MNEs	MNEs subject to an 8% <u>gross</u> withholding tax under the STTR which will reduce the net tax in State A ¹⁰	MNEs subject to an additional 8% <u>net</u> tax	Treaty not updated – no additional tax
Impact on Revenue	State A cedes its 1% net taxes to the developing country. ¹¹ State A collects none of the 8% <u>gross</u> withholding tax to the payer country (at no benefit to the MNE)	State A raises additional 8% <u>net</u> tax	No additional revenue
Impact on developing country	Raises 8% <u>gross</u> withholding tax on MNE	No additional revenue	No additional revenue
Impact on MNEs from countries other than developing country Treaty Partners	No impact	Additional 8% <u>net</u> tax	No impact

The only one of these three options which allows the developing country to raise additional revenue directly is Option A. In this case State A retains a below 9% nominal tax rate on covered payments and accepts the additional gross withholding tax imposed on MNEs operating in its jurisdiction by the developing country. The problem for developing countries which are seeking to raise revenue from the STTR is that this seems to generally be the worst of the three options for State A.

If State A adopts Option B, the additional tax imposed on the MNE is less than (or equal to) that under Option A.¹² To the extent that State A was invested in offering low taxes (in order to retain its position as an attractive low tax hub) it could attempt to offer additional deductions so that despite having a nominal tax rate on covered payments of 9% there was a lower effective tax rate. Of course, the STTR rules can be

¹⁰ This assumes that State A provides a foreign tax credit for any withholding tax paid in the developing country on taxable income in its jurisdiction. If it does not, there will be unrelieved double taxation on the MNE (albeit at a very low level in this example).

¹¹ This also assumes that State A provides a foreign tax credit for any withholding tax paid in the developing country.

¹² The only case in which this is not true is when there are nil deductions with respect to the Covered Payments. In such a case, the same amount of tax would be imposed under Option A and Option B.

expected to have rules in place to stop this from having too blatantly.¹³ Nevertheless, there are likely to be avenues available to countries to reduce the final impact of a nominal rate of 9% without breaching the integrity rules.¹⁴ Furthermore, by raising the nominal rate to 9%, State A collects the additional revenue (instead of the developing country). Accordingly, with respect to payments from developing countries, allowing the STTR is the worst option for both the MNE (which pays more tax) and State A (which collects no additional revenue).

The only direct reason for State A to adopt Option A over Option B is that its preference *not to apply* an additional 8% net tax to covered payments from jurisdictions that do not apply the STTR *outweighs* the benefits of (a) offering lower taxes on payments from developing countries and (b) collecting the additional revenue itself (rather than ceding it to the developing country). In other words, State A wants to offer below 9% nominal tax rates on covered payments to *other countries* and in order to keep offering those low rates it must be willing to tolerate gross-basis top-up taxes being imposed by developing countries on relevant payments.

This seems like a plausible outcome. Perhaps the flows of interest and royalties through State A are such that the vast majority are from non-developing countries (which cannot require the adoption of the STTR into their tax treaties under the Pillar Two agreement) or simply from states that choose not to impose it. State A does not want to become less attractive as a hub for payments from these higher income states. This assumes that State A is unable to discriminate between the tax it imposes on income from developing country treaty partners and income from other states. State A may not be able to create such a regime without triggering an anti-discrimination clause in its tax treaties.¹⁵ However, there is also another option available to State A.

Refusing to join the Inclusive Framework 'deal'

State A could simply refuse to join the Inclusive Framework's final deal and therefore not be required to update its treaties. In such a case, developing country treaty partners could not force State A to adopt the STTR. State A could continue to apply low nominal tax rates to payments received from all countries (both

¹³ For instance, the rules surely cannot allow a country to maintain a high 'nominal' rate with an accompanying deduction equal to a proportion of the included income or a tax credit equal to an expected proportion of the imposed tax.

¹⁴ For example, State A could adopt an allowance for corporate equity (unless an adjustment is made to the nominal tax rate to take into account such deductions).

¹⁵ Note – this cannot be achieved by applying different withholding rates in different treaties. In this case State A would be the *recipient* of the payment.

developing and non-developing country treaty partners). Insofar as a developing country had a treaty with State A, they would either need to accept the low rate (and not be able to apply the STTR), arrange a mutually agreed amendment on a bilateral basis or terminate the treaty.

The price for State A of doing this would be to give up on the benefits which arise under the Inclusive Framework deal. A full analysis of these benefits is beyond the scope of this article. However, for present purposes it is important to note that the GloBE rules (the other component of Pillar Two) adopt a ‘common approach’. Countries can choose whether or not to adopt an Income Inclusion Rule (IIR) or Undertaxed Profits Rule (UTPR). As tax hubs are generally less likely to be the jurisdiction of ultimate parent entities and to have significant substance (which could generate a UTPR allocation), they may not expect to raise significant revenue under either of these rules. Accordingly, they may consider there to be limited incentive to join the deal itself.

The position is slightly less clear with respect to the qualified domestic minimum top-up tax (QDMTT), which generally speaking is designed to allow source countries to impose the tax which would otherwise be imposed by the IIR.¹⁶ It is not clear whether a country must join the Inclusive Framework agreement in order to have a recognized QDMTT. There is nothing in the GloBE Model Rules or Commentary which explicitly states that a country must be in the Inclusive Framework agreement to have a QDMTT. However, it is unclear as a procedural matter how a non-agreeing member or a non-member of the Inclusive Framework would have their domestic minimum tax peer-reviewed and designated as a QDMTT. If a restrictive approach is taken, states may have an incentive to join the agreement in order to have a QDMTT.

In this context, it is important to note that if a domestic minimum tax is not qualified, it is simply treated as a Covered Tax. The key difference between a QDMTT and a non-qualifying domestic minimum tax is the amount of substance-based income exclusion (‘SBIE’) is in the jurisdiction.¹⁷ By adopting a QDMTT, a state can impose the minimum level of tax on Excess Profits without needing to impose the minimum rate on the SBIE (a formulaic return to the amount of ‘substance’ in the jurisdiction).¹⁸ However, for tax hubs with limited substance (that is, with limited SBIE), there may be no real benefit in the ability to avoid

¹⁶ See Heydon Wardell-Burrows, ‘Should CFC Regimes give a tax credit for QDMTT?’, *Tax Notes International*, 27 June 2022.

¹⁷ This sets to one side the issue of the interaction between CFC rules and the QDMTT – for further detail see Wardell-Burrows, above n 16.

¹⁸ See Michael Devereux, John Vella and Heydon Wardell-Burrows, ‘Pillar 2’s Impact on Tax Competition’, (forthcoming), 26 August 2022 version available at https://papers.ssrn.com/sol3/papers.cfm?abstract_id=4203395.

imposing the minimum rate on SBIE amounts. Accordingly, there may be no practical difference for tax hubs between adopting a QDMTT as opposed to a non-qualifying domestic minimum tax equal to 15% of GloBE Income.

Of course, there may be benefits of being a member of the Inclusive Framework which arise under Pillar One. For instance, one would expect that only Inclusive Framework members that have agreed to the package are entitled to the reallocated taxing rights under Pillar One. However, in order for this to be a real benefit, Pillar One will need to be adopted. It remains uncertain as to whether this will occur.

From the above, it is not clear that there are likely to be sufficient benefits to joining the final Inclusive Framework deal that a tax hub would be willing to join if it would prefer not to be subject to the STTR. It must be noted that many tax hubs are currently members of the Inclusive Framework and even signed up to the 8 October Statement (which included the STTR). While this is true, the full details of the agreement have not been announced. It seems plausible that some tax hubs may form the view that it is not worth joining the Inclusive Framework's final deal if it includes an STTR which is contrary to their interests.

Accordingly, where State A has previously adopted a strategy of acting as a global tax hub, it generally appears to have two options (Options B and C) which are both better than adopting Option A. The only circumstances under which it appears rational for State A to adopt Option A (as opposed to Option B or Option C) are where:

- (a) there are covered payments from a developing country to State A;
- (b) State A values imposing low nominal tax rates on covered payments from non-developing countries more than ceding gross-basis taxing rights to developing countries on covered payments (even though this disadvantages both State A and the MNE);
- (c) State A cannot discriminate in the tax rates imposed on profits from payments from different countries; and
- (d) State A values being a member of the Inclusive Framework's final deal more than the ability to retain its current system (pre-Pillar Two).

It seems likely that this may prove to be a relatively limited set of circumstances.

Offering the minimum possible amount of tax

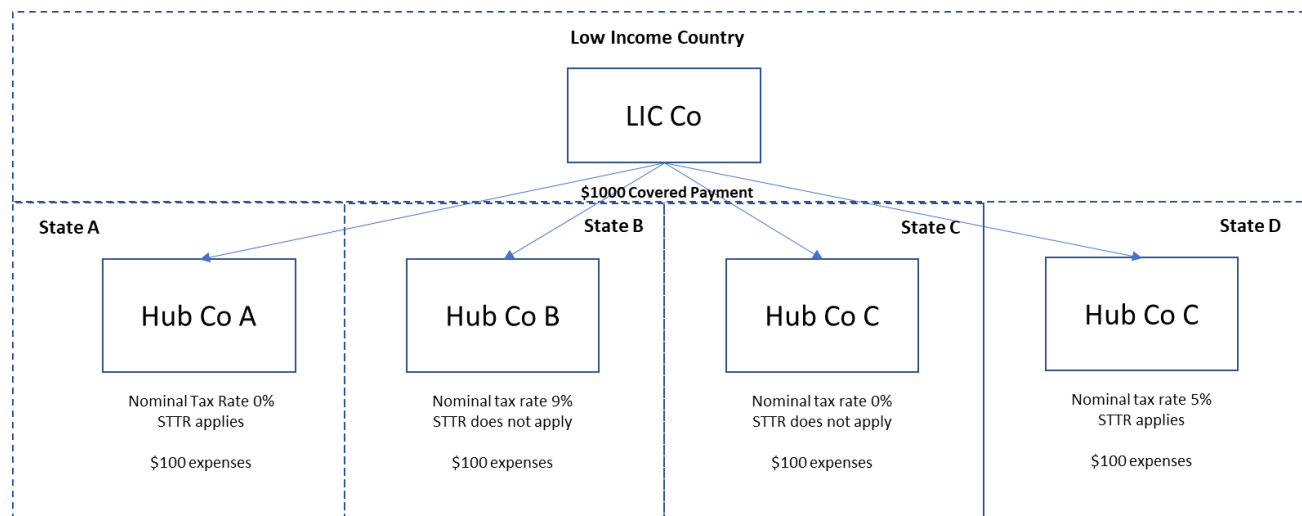
It is worth considering how a hub may seek to minimize the total amount of tax imposed on MNEs. Of course, the most obvious strategy would be to impose a nominal tax rate of 9% and attempt to create

additional deductions which reduced the actual tax imposed back down towards nil. However, we must assume that the rules will attempt to stop this occurring in (at the least) blatantly artificial ways. Furthermore, insofar as the hub has limited activity there may be very few reasonable bases upon which State A could provide additional deductions (that is, there may be limited real expenses in the jurisdiction). If we assume that State A cannot artificially lower the level of tax beyond actual expenses in the jurisdiction, how would State A offer the lowest level of total tax to MNEs in the jurisdiction?

Consider an MNE that is making profit stripping payments of \$1000 out of a developing country ('Low Income Country') and into a tax hub. The MNE will incur \$100 of additional expenses in the hub jurisdiction which can be deducted against the income. The MNE is considering making the payment to four hub-jurisdictions (States A-D) which each have a tax treaty with the developing country and adopt the following approaches:

- | | |
|----------------|--|
| State A | State A has a nil nominal tax rate and allows its tax treaties with developing countries to be updated for the STTR. |
| State B | State B raises its nominal tax rate on covered payments to 9%. |
| State C | State C refuses to join the Inclusive Framework. It retains its nil tax rate and does not update its tax treaties to include the STTR. |
| State D | State D raises its nominal tax rate to 5% and allows its tax treaties with developing countries to be updated for the STTR. |

Diagram 1



The outcomes for the MNE are as follows:

	State A	State B	State C	State D
Covered Payment	\$1000	\$1000	\$1000	\$1000
Low Income Country				
STTR	\$90 (9% * \$1000)	\$0	\$0	\$40 (4% * \$1000)
Tax Hub				
Prima Facie Tax	\$0	\$81 (9% * \$900)	\$0	\$45 (5% * \$900)
Foreign Tax Credit	\$0	-	-	\$40*
Tax Hub Tax	\$0	\$81	\$0	\$5 (\$45 - \$40)
Total Tax on MNE				
	\$90	\$81	\$0	\$45

*It is assumed that a State would grant a foreign tax credit for STTR (but see below).

From the perspective of the MNE, State C is the best option. State C is not imposing any tax on the relevant income and is also refusing to allow the STTR to apply. The result is that no taxes are paid at all. This is the case where State C refuses to join the Inclusive Framework and produces the worst outcome from the perspective of the developing country. The MNE would retain nil taxation on the (potentially profit stripping) structure. This is unsurprising because State C is avoiding the STTR without raising its domestic tax rate. The developing country could remove this option by terminating its tax treaty with State C.

The surprising outcome is State D. By imposing some domestic tax (5%), State D is reducing the developing country's ability to impose gross withholding tax under the STTR. The developing country can only impose STTR equal to 9% less the nominal tax rate. While the recipient country is not reducing the nominal rate of taxation, it is effectively removing the tax imposed at that nominal rate by allowing a tax credit for the STTR. This will produce a much lower level of total tax even without generating artificial deductions in the recipient country. This leads back to the question as to whether an adjustment should be made to the 'nominal rate' under the STTR rules for withholding taxes.

If it is thought that this outcome should not be accepted, the STTR would need to have a rule which effectively prevented the STTR from being credited under the domestic tax rules. This would be best achieved through the definition of the nominal tax rate. An adjustment would need to be made for giving a credit to STTR withholding tax. However, this is not a simple adjustment. There will be a feedback loop between the STTR and the credit because any adjustment down in the nominal rate will increase the STTR and therefore the available credit. The result of an adjustment is likely to be a spiral which reduces the calculated nominal rate to zero and imposes an STTR of 9%.

While there is a logic to this process, it would still be a very strange outcome. The STTR is effectively just a conditional withholding tax on interest and royalties. These taxes are generally creditable in order to avoid double tax. It would be very strange to allow such taxes to be creditable when they are imposed under the 'normal' interest and royalties articles but refuse to credit them under the STTR. There does not appear to be a sensible justification for such a discrepancy. It would be a radical departure from the current rules to refuse to grant tax credits for interest and royalty withholding tax payments under any treaty with (at least) developing countries. This outcome should not be accepted merely to avoid the incentives to adopt the State D position.

The third best option for the MNE is that State B which raises its nominal rate to 9%. In this case, the MNE is still subject to 9% tax but is at least entitled to any legitimate deductions it can claim in the hub jurisdiction. As noted above, there will need to be rules to prevent artificial deductions arising in the jurisdiction in order to maintain a lower tax rate despite a nominal tax rate of 9%. However, it is unrealistic to think that this means that there will be no deductions in the hub jurisdiction. As soon as there are any deductions allowable, the MNE is better off being subject to a net tax of 9% (State B) rather than a gross withholding tax of 9% (State A).

The worst option for the MNE is State A – the only State that leaves its nil tax rate in place and allows a 9% STTR to be applied. Accordingly, to the extent that MNEs have any choice at all they are likely to attempt to apply base-stripping payments through states resembling State B, C or D. An MNE would be better off routing covered payments through a non-treaty partner state that had a nominal tax rate of 9% over a treaty partner state with a nil nominal tax rate.

As noted in the section above, the only clear reason why a tax hub might resemble State A is that it is sufficiently invested in remaining a tax hub for non-developing countries that it is willing to be subject to the STTR from developing countries. State A may also be motivated to adopt this option because it wishes to signal that it is a low tax jurisdiction (and is willing to sacrifice revenue to produce that signal, even if it does not benefit the MNE). However, even if this were the case, it seems unlikely that MNEs would continue to send covered payments from developing countries to hubs that resembled State A. The MNE would be better off sending their payments to another tax hub (that resembled State B, C or D). This structure creates an incentive to have two different types of tax hubs – one type would be tailored towards developing countries (which have adopted the STTR) and the other towards non-developing countries (which have not).

Interaction with the GloBE Rules

The analysis so far has left out a crucial interaction issue – the presence of the GloBE Rules. The GloBE Rules will clearly impact tax hubs and the strategies that they adopt. A full analysis of the strategies that low-tax countries (including tax hubs) may adopt in response to the GloBE rules is beyond the scope of this article. However, the interaction between the GloBE Rules and the STTR is important for thinking about the strategies available to low-tax hub countries and the flow-on impact this has for the likelihood of the STTR raising revenue.

The GloBE Rules ensure that a minimum level of tax is paid with respect to each jurisdiction in which an MNE operates. The source country can itself impose this minimum level of tax through a qualified domestic minimum top-up tax (QDMTT). Generally speaking, a QDMTT allows the source country to collect the top-up tax which would otherwise fall due under the Income Inclusion Rule (IIR) or the Undertaxed Profits Rule (UTPR). Accordingly, the QDMTT is an attractive option for low-tax states which allows them to raise the revenue that would otherwise have gone to another country.¹⁹

¹⁹ See further Devereux, Vella and Wardell-Burrows, above n 18.

If a minimum effective tax rate must be imposed with respect to the profits in the low-tax hub jurisdiction, there is an even greater incentive to ensure that the minimum nominal rate is equal to at least 9%. This is because the hub jurisdiction will not be able to attract income by offering a below minimum effective tax rate. If the MNE is going to be subject to a minimum effective tax rate of 15% on Excess Profits in the hub jurisdiction in any case, there is not a significant benefit in having a nominal tax rate below 9%.²⁰ The GloBE Rules therefore diminish the benefit of the MNE having a nominal tax rate of below 9%. This makes the State A strategy even less appealing to a tax hub state.

The interaction with the GloBE Rules may also create a strong incentive for states not to adopt the strategy of State C. By refusing to join the Inclusive Framework State C has sought to both avoid the STTR and retain a nil tax rate. There are two fundamental problems with this strategy. First, while this may be effective for the STTR, it will not prevent the GloBE Rules applying. State C would still need to actually impose tax at 15% on Excess Profits under the QDMTT (or the MNE will nevertheless be subject to an equal amount of top-up tax from another state under the IIR or UTPR). Second, such an aggressive position may encourage the developing country to terminate its tax treaty with State C in order for it to apply the STTR. However, as noted above, if the developing country did so it still may not raise significant revenue as impacted MNEs may look to reroute the relevant payments into a jurisdiction which would prevent the STTR from applying (of course, there may be 'stickiness' in attempting to reroute such payments).

Indirect Benefits

The above analysis has focused on the direct benefits of the STTR. It is important to note that even if the STTR does not directly raise any revenue, it could potentially assist developing countries indirectly. These indirect benefits map to the two primary justifications for Pillar Two as a whole – limiting BEPS activity and tax competition.

With respect to BEPS activity, the existence of the STTR will create an incentive for tax hubs (which or may or may not be sufficient) to raise their nominal rates to 9%.²¹ Assuming this results in the imposition of a

²⁰ This is subject to an important caveat. The STTR applies if the recipient of the payment is subject to a nominal tax rate of less than 9% on the covered payment. It is not clear whether the recipient of the payment being subject to the QDMTT would be sufficient to meet this nominal rate requirement. See further Devereux, Vella and Wardell-Burrus, above n 18, Section 5.1.

²¹ This arguably can be observed in the UAE's announcement of an intention to adopt a tax rate of 9% on businesses below the 750m threshold for the GloBE Rules. (see United Arab Emirates Ministry of Finance Announcement, 'The Ministry of Finance announces the introduction of a Corporate Tax in the UAE', 31 January 2022. Accessible at <https://www.mof.gov.ae/en/media/materials/News/Pages/31012022.aspx> (accessed 19 August 2022)).

greater amount of tax than is currently being paid, the STTR may have indirectly reduced the incentive for the MNE to engage in profit shifting or profit stripping from developing countries. The rationale here is that by encouraging the tax hubs to raise taxes, the STTR will have shrunk the tax benefit to the MNE of stripping the profit into the tax hub in the first place.

There are two problems with this analysis. First, while the quantum of the benefit to the MNE is reduced, the MNE is still likely to be benefited from stripping the income (that is, the total tax paid in the tax hub will still be less than if the MNE booked the profit in the developing country). Accordingly, there is not a strong disincentive which would prevent the MNE from stripping the income – simply a reduced incentive to strip it. While this may limit some BEPS activity at the margin, it is unclear whether it would move the needle significantly – particularly with respect to structures that are already in place. Of course, this is also a problem with the GloBE rules.

Second, it's unclear how much of this benefit will arise due to the STTR as opposed to the GloBE Rules. It seems likely that the GloBE rules themselves will provide the majority of the incentive for hubs to raise their tax rates. Their design is more robust than the concept of nominal tax rates under the STTR. It also requires raising the relevant rate to 15% (albeit on Excess Profit) rather 9%. Accordingly, to the extent that BEPS is reduced under Pillar Two, it seems like the vast majority of the relevant effect will have been from the GloBE Rules and not from the STTR.

The other justification is based upon reduced tax competition. The above analysis noted that countries are already free to adopt an STTR so long as a treaty is not in place. Accordingly, states could do so now. The problem is that if a single country adopts such a rule, the incidence of the additional tax may fall on that jurisdiction and drive away investment. MNEs investing in the jurisdiction are likely to focus on their after-profit tax. The imposition of additional tax through an STTR could simply reduce investment in that jurisdiction to the benefit of similar jurisdictions which will receive the investment instead. If the STTR is an opportunity for a collection of similar developing countries to adopt a common rule, they may be able to overcome a current collective action problem - that is, each country wants to impose additional withholding taxes but cannot do so without driving investment to its competitors. If all similar countries impose the same tax together, the tax may not be avoided by simply investing in a competitor and part of the incidence of the tax may be shifted to the rest of the MNE group (and their shareholders).

Summary

The above analysis has raised concerns that the STTR will not in fact allow developing countries to raise significant additional revenue. The key reason is that both the MNE and the treaty partner of the developing country can generally be made better off by preventing the STTR from applying. The MNE would generally prefer to send the payment to a jurisdiction with a nominal tax rate of 9% than to a jurisdiction which would trigger the STTR. As soon as there are any deductions available in the hub jurisdiction, the MNE is better off sending the payment to a country with a nominal rate of 9% on net income than be subject to a gross withholding tax of 9% under the STTR.

A tax hub that offers a nominal rate of 9% and as many deductions as possible consistently with the rules would be an attractive jurisdiction as a hub for payments from developing countries. Importantly, assuming the STTR is to be implemented consistently, the jurisdiction would not need to be a treaty partner to fulfil this role. If there is one such jurisdiction, it is unlikely that MNEs would allow their income stripping payments to be subject to a gross withholding tax of 9% over the long run (though, of course, there may be frictions which prevent an overnight transition to new jurisdictions). Accordingly, we should not expect to see the STTR raise significant amounts of revenue for developing countries.

There is a counter-intuitive tax hub strategy (State D above) which could potentially give rise to STTR taxation for the developing country. A tax hub may be seeking to impose the lowest amount of total tax on MNE's operating in its jurisdiction. In order to achieve this outcome it would seek to impose nominal taxation of approximately half the required nominal rate. This would give rise to both STTR and domestic tax. However, as long as the hub country were allowed to credit the STTR tax, it could produce a lower amount of tax overall (as the STTR tax would offset the nominal tax obligation).

If a tax hub were seeking to impose the lowest amount of total tax it would have to assess whether it could impose less tax under this mechanism or by imposing a nominal tax rate of 9% and as many deductions as possible within the rules. Theoretically, there would be an ideal strategy between the two under which a higher nominal rate was reduced by generous deductions which were then offset against a credit for STTR.²² It could further enhance its attractiveness by allowing cross-crediting of any foreign tax credits against foreign source income. If tax hubs were to adopt this strategy, developing countries

²² For instance, a nominal tax rate of 6% on income of \$1000 with \$400 of allowable deductions (arising from an allowance for corporate equity or a particular type of domestic super-deduction). This would result in an STTR of \$30 (3% * \$1000), a prima facie domestic tax liability of \$36 (6%*\$600) and a foreign tax credit of \$30. The MNE would pay \$36 in total tax on the \$1000 of income.

would foreseeably raise revenue under the STTR. However, the process and reasoning is both complex and convoluted. It certainly seems plausible that no tax hub would attempt to adopt it.

Considering it is largely within the power of tax hubs and MNEs to avoid the STTR, we should expect that they will attempt to do so. Furthermore, as the impact on tax competition produced by the GloBE Rules is likely to outweigh that created by the STTR, it is unlikely that the STTR will significantly assist developing countries by reducing BEPS or limiting tax competition. Accordingly, we should temper our expectations that developing countries stand to raise significant additional revenue under the STTR – either directly or indirectly.

Part II: Alternative mechanisms of adapting Pillar Two for developing countries

By stating that the STTR was an ‘integral part of achieving consensus from developing countries’, the October 2021 Inclusive Framework Statement suggest that there was an expectation that developing countries should have some benefit from Pillar Two beyond the GloBE Rules providing a mechanism for limiting the race to the bottom. If the analysis in Part I is correct, the STTR is unlikely to provide a substantial benefit to developing countries. Accordingly, it is important to explore other ways in which the Pillar Two rules can be adapted to benefit developing countries. If at all possible, this should be done without re-opening the GloBE Model Rules themselves.

In this section, I outline three proposals to explore which could be achieved as part of the implementation of the GloBE Rules. First, the Implementation Framework should allow source countries to adopt a qualified domestic minimum top-up tax (QDMTT) which does not take into account cross-jurisdictional taxes (in particular, CFC taxes) in determining the domestic top-up tax amount. Second, developing countries should be entitled to impose a QDMTT at a higher tax rate than 15%. Third, developing countries ought to be entitled to ‘opt out’ of any agreed simplification methods and require relevant MNEs to provide a full top-up tax calculation to the relevant IIR jurisdiction.

Proposal 1 – A QDMTT does not need to give credit for cross-jurisdictional taxes

The first proposal would allow source countries to adopt QDMTTs which are calculated without taking into account cross-jurisdictional taxes including controlled foreign corporation (CFC) taxes. The aim is to ensure that source countries are not forced to choose between the beneficial treatment of the QDMTT (as opposed to a ‘covered tax’) and ceding taxing rights to other countries which impose a CFC tax. Ultimately, the aim is to ensure that developing countries can impose the minimum tax permitted under the GloBE rules without ceding the revenue to another jurisdiction.

In order to understand this issue, it is necessary to understand the ordering rules created under the GloBE Regime. The GloBE Regime has been designed to operate on top of the existing tax regime – including cross-jurisdictional taxes. In essence, it operates assigning income to constituent entities in a jurisdiction according to financial accounting concepts and then determining the total amount of tax paid on that income. This is used to determine the effective tax rate (ETR) for the jurisdiction. Importantly, it takes into account all ‘covered taxes’ on that income, including relevant taxes imposed by other jurisdictions such as CFC taxes.

If the total taxes are below the minimum required under the rules, an additional top-up tax is imposed on the MNE group. This additional top-up tax can be paid under one of three rules. First, if the source country itself has adopted a QDMTT, it will be paid to the source country. In the absence of a QDMTT, the top-up tax is imposed by the jurisdiction of a direct or indirect parent entity under the Income Inclusion Rule (IIR). Finally, if there is no applicable QDMTT or IIR, the top-up tax will be divided amongst jurisdictions which have imposed the Undertaxed Profits Rule (UTPR) in proportion to the substance of the MNE in those jurisdictions.

This structure creates the following priority rules:

	Tax	Jurisdiction
1	Corporation Tax	Source
2	CFC Tax (and other cross-jurisdictional taxes)	Parent (direct or indirect)
3	QDMTT	Source
4	IIR	Ultimate parent (or intermediate parent)
5	UTPR	Other jurisdictions based on substance

The key issue is that the QDMTT appears to apply after applicable CFC taxes. This structure arises because the relevant amount of jurisdictional top-up tax under the GloBE Rules takes into account CFC taxes as a type of Covered Tax. The result is that a source country cannot rely on the QDMTT to impose the minimum level of tax without risking its tax base to a country imposing a CFC tax. At a principled level, the QDMTT is an alternative minimum tax on profit within the source jurisdiction. Such a tax would generally have priority over any applicable CFC taxes (that is, CFC taxes would generally provide a credit for them).

If the relevant CFC tax gives a credit for the QDMTT while the QDMTT also takes into account the CFC tax in calculating the top-up tax amount, the result is a feedback loop resulting in a ‘spiral’. I have provided a

detailed account of the spiral effect, as well as the related ‘cliff effect’ in a separate article.²³ The result, however, is that unless the QDMTT can apply without taking into account CFC taxes, the CFC jurisdiction can claim revenue which would otherwise be received by the source jurisdiction under the QDMTT.

In order to avoid ceding revenue to another jurisdiction imposing CFC taxes, the source jurisdiction could seek to rely upon their Corporation Tax rather than using a QDMTT. However, there is an important difference in the way in which the GloBE Rules treat a QDMTT as opposed to a Corporation Tax. While the GloBE Rules calculate the ETR with respect to all GloBE Income, the top-up tax is only imposed with respect to ‘Excess Profit’. Excess Profit is the amount of profit in excess of the substance-based income exclusion (or SBIE) for the jurisdiction. The SBIE is a formulaic return to the amount of substance (payroll expense and tangible assets) in the jurisdiction. This is designed to allow for below 15% taxation on the formulaic return to substance in the jurisdiction (the SBIE). That is, no top-up tax will be imposed with respect to the amount of SBIE. However, top-up tax is imposed with respect to Excess Profit.

The GloBE Rules treat a source country’s Corporation Tax and QDMTT differently. Corporation Tax is counted towards determining the ETR for the entire jurisdiction. The ETR is calculated by considering the total Covered Taxes on all of the GloBE Income (both SBIE and Excess Profit). However, the QDMTT is treated as directly reducing the amount of top-up tax which is imposed with respect to the jurisdiction (generally down to nil). An amount of Corporation Tax is therefore effectively ‘spread’ across both SBIE and Excess Profit while an amount of QDMTT can be counted towards the top-up tax on the Excess Profit only. This means that amounts of QDMTT are treated more favourably than amounts of Corporation Tax in terms of meeting the minimum tax.²⁴

As explained with co-authors Michael Devereux and John Vella, a state wishing to impose the lowest amount of tax is thereby incentivised to reduce their Corporation Tax rate to nil and rely exclusively on the QDMTT to impose the minimum level of taxation (which is 15% of Excess Profit).²⁵ Importantly, the minimum total tax (15% of Excess Profit) cannot be imposed under a regular Corporation Tax unless there is no SBIE in the jurisdiction.

These two factors offer source countries a dilemma. If they wish to attract foreign capital by offering the minimum tax allowed under the GloBE Rules, they would reduce their Corporation Tax to nil and rely on the QDMTT. However, if they do so, they will be vulnerable to ceding taxing rights to a jurisdiction

²³ See Wardell-Burrows, above n 16, p. 1652-1653.

²⁴ For a detailed explanation, see Devereux, Vella and Wardell-Burrows, above n 18, Section 4.1.

²⁵ Devereux, Vella and Wardell-Burrows, above n 18, Section 4.1.1.

imposing CFC taxes which would apply ahead of the QDMTT. This creates a real risk that source countries (and developing countries, in particular) may seek to impose the minimum possible amount of total taxation by reducing or removing Corporation Tax while adopting a QDMTT. However, if they do so, they will be required to cede taxing rights to capital exporting countries which have adopted CFC taxes. As the CFC taxes would apply ahead of the QDMTT, the source country is effectively ceding its primary taxing rights for secondary taxing rights with respect to income of its own constituent entities.

Critics may retort that this simply means that the rules have created an incentive not to shift from the Corporation Tax to the QDMTT. In other words, the fact that source countries attempting to impose the minimum level of taxation would have to cede taxing rights to other jurisdictions imposing CFC taxes means that they would not seek to impose the minimum rate of tax (15% of Excess Profit). Such critics may argue that this is good for source countries as it sets the minimum at a higher 'true rate' of 15% of Profit. This is an odd argument. It seems strange to think that countries bargained for the SBIE to be excluded from the top-up tax amount, only to have this benefit taken away through CFC rules which would give the relevant revenue to another jurisdiction.

The proposed solution to this problem is to allow for a QDMTT which does not take into account cross-jurisdictional taxes (including CFC taxes). This would allow for the source country to impose the minimum level of taxation without ceding taxing rights to other countries which impose CFC taxes.²⁶ The question then becomes whether this is allowed under the GloBE Rules.

A domestic minimum tax must meet the following requirements to be a QDMTT as defined within the GloBE Rules.

...a minimum tax that is included in the domestic law of a jurisdiction and that:

(a) determines the Excess Profits of the Constituent Entities located in the jurisdiction (domestic Excess Profits) in a manner that is equivalent to the GloBE Rules;

(b) operates to increase domestic tax liability with respect to domestic Excess Profits to the Minimum Rate for the jurisdiction and Constituent Entities for a Fiscal Year; and

²⁶ This is assuming that the applicable CFC taxes themselves give a credit for the QDMTT. If they do not, the other state's foreign tax credit rules (rather than the GloBE Rules themselves) would be imposing additional taxation. This is explained further in Wardell-Burrus, above n 16.

(c) is implemented and administered in a way that is consistent with the outcomes provided for under the GloBE Rules and the Commentary, provided that such jurisdiction does not provide any benefits that are related to such rules.²⁷

A QDMTT which operates to impose the jurisdictional top-up tax which would otherwise arise under the GloBE Rules clearly meets this definition.²⁸ In other words, a domestic minimum tax which operates as described above (taking CFC taxes into account in determining the ETR) can clearly be a QDMTT. What is less clear is whether a domestic minimum tax which operates otherwise identically can still be a QDMTT even if it does not take into account CFC (or other cross-jurisdictional) taxes.

An appealing argument is that such a QDMTT (which did not take into account CFC taxes in the ETR calculation) would meet the definition because it would impose a larger tax liability. This argument would say that, properly interpreted, the QDMTT definition requires that the domestic minimum tax impose at least the amount of top-up tax which would otherwise arise. By not taking into account CFC taxes, such a domestic minimum tax would be imposing a larger amount of top-up tax. There is nothing in the definition of a QDMTT which would explicitly exclude a domestic minimum tax that imposed a larger amount of top-up tax than that which would arise under the 'minimum QDMTT' (a QDMTT which did take into account all cross-jurisdictional taxes).

The counterargument would appear to rely upon the notion that the definition of QDMTT requires a domestic minimum tax to 'increase domestic tax liability with respect to domestic Excess Profits to the Minimum Rate' (emphasis added). Neither the definition of QDMTT in the GloBE Model Rules nor the Commentary uses inclusive language of 'at least'. This argument would suggest that a domestic minimum tax which raised taxes beyond the minimum rate would not constitute a QDMTT. The QDMTT is a special provision which only allows the source jurisdiction to impose the jurisdictional top-up tax which would otherwise arise under the rules. It is such a tax (and only such a tax) that gets the special treatment of a QDMTT (rather than a Covered Tax) under the GloBE Rules.

Furthermore, supporters of this claim may argue that a domestic minimum tax which goes beyond the minimum is not 'is implemented and administered in a way that is consistent with the outcomes provided for under the GloBE Rules and the Commentary'. They would argue that the relevant outcomes are to impose a minimum top-up tax calculated under the GloBE rules after taking into account all Covered Taxes

²⁷ GloBE Rules, Art. 10.1.

²⁸ For an explanation as to why 'domestic tax liability' cannot be interpreted narrowly see Wardell-Burrus, above n 16, p. 1650.

in the current system (including CFC taxes). They would further argue that if the rules had intended for the QDMTT to be capable of departing from the regular GloBE calculation, this would have been made explicit.

Both of these interpretations appear available based upon the drafting of the GloBE Model Rules and Commentary. In order to implement the rules a favourable way to developing countries, the Inclusive Framework could multilaterally agree that domestic minimum taxes which do not take into account CFC taxes (or other cross-jurisdictional taxes as appropriate) will nevertheless be treated as a QDMTT. This could be achieved through two potential mechanisms. First, by clarifying in relevant administrative guidance that such rules will be treated as a QDMTT. Second, an administrative solution could be adopted through which such domestic minimum taxes were recognized as QDMTTs through the multilateral process to determine qualified QDMTTs which is envisaged in the Commentary.²⁹ I have previously argued that such a QDMTT could be adopted as a 'Concessionary QDMTT' as part of implementation.³⁰ Whether this outcome is reached through the use of a 'concessionary' administrative qualification process or by clarifying that the rules is less important than the fact that the outcome is available for developing countries.

The 'concessionary QDMTT' (or a QDMTT which did not take into account CFC taxes) would allow source countries to impose the minimum level of tax under the GloBE Rules without potentially ceding their tax base to other countries. With respect to this issue, the GloBE Rules are running into a conflict between two principles. The first is recognizing that the source jurisdiction should have the primary taxing right and ability to impose the minimum tax itself. The second is calculating the top-up tax with respect to the current tax system which includes CFC taxes. Where these principles come into conflict, the first principle should take precedence. Source countries should have the right to impose the minimum tax themselves without risking a revenue loss to CFC taxes. This structure will also benefit the stability of the system by limiting the incentive of capital exporting countries to expand their CFC taxing regimes.³¹

²⁹ See Commentary to the GloBE Rules, Art. 10, paragraph [118].

³⁰ Wardell-Burrus, above n 16, p.1656-1658.

³¹ See further Wardell-Burrus, above n 16, p. 1654; Noam Noked, 'Designing Domestic Minimum Taxes and Subsidies in Response to the Global Minimum Tax', *Intertax* (forthcoming 2022) citing Steven Towers, 'Will the GloBE Rules Cause the Expansion of CFC Regimes?', *International Tax Bytes blog*, Apr. 1, 2022.

Proposal 2 – Accepting a QDMTT above a 15% tax rate

The second proposal is to allow source states to adopt a QDMTT at a tax rate above 15%. This would let source countries leverage the GloBE tax base to impose taxes at a higher rate if they chose to do so. This is important because it allows source countries to adopt a higher domestic minimum tax without losing the ability to provide tax benefits with respect to SBIE amounts. It may be thought that this is unnecessary because it is entirely within the source country's ability to impose a higher tax rate under their domestic Corporation Tax. However, as noted above, a QDMTT receives favourable treatment under the GloBE Rules compared to a Corporation Tax. This difference in treatment means that the source country cannot achieve relevant objectives through the Corporation Tax alone.

Consider a source country X which wanted to impose a nil tax rate on amounts of SBIE but a 20% tax rate on Excess Profits under the GloBE Rules. There are two MNEs (A and B) which operate in X, only one of which has Excess Profits. We assume that the GloBE base relevantly matches the Corporation Tax Base.

A Domestic Minimum Tax equal to 20% of Excess Profit that is not a QDMTT

	MNE A	MNE B
GloBE Income	1000	1000
SBIE	1000	600
Excess Profit	0	400
Covered Taxes (20% of Excess Profit)	0	80
ETR	0%	8%
Top-up Tax Percentage	15%	7%
Top-up Tax Required (Top-up Tax Percentage * Excess Profit)	0 (15% * 0)	28 (7% * 400)
QDMTT (15%)	0 (15% * 0)	28 (7% * 400)
IIR Top-up Tax	0 (0 – 0)	0 (28 – 28)
Total Tax	0	108

*All figures are in USD.

This example demonstrates that the source country cannot adopt a top-up tax equal to 20% of Excess Profits if such a tax is considered to be a Covered Tax (rather than a QDMTT). The GloBE Rules effectively spread the 20% tax on Excess Profits across the total profits of the MNE (including the SBIE). The result is

that, despite having imposed a tax of 20% of Excess Profits, there is still additional top-up tax which will fall due under the GloBE Rules. If the jurisdiction also has a QDMTT (imposed at the minimum rate) this will impose an additional QDMTT liability of \$28. If it does not, there would be an additional IIR tax liability (payable to another jurisdiction) of \$28. If the source country's tax of 20% of Excess Profit is considered to be a Covered Tax (and not a QDMTT), the source country cannot adopt a policy of 0% tax on SBIE amounts and 20% tax on Excess Profit.

A Domestic Minimum Tax equal to 20% of Excess Profit that is a QDMTT

	MNE A	MNE B
GloBE Income	1000	1000
SBIE	1000	600
Excess Profit	0	400
Covered Taxes (20% of Excess Profit)	0	0
ETR	0%	0%
Top-up Tax Percentage	15%	15%
Top-up Tax Required (Top-up Tax Percentage * Excess Profit)	0 (15% * 0)	60 (15% * 400)
QDMTT (20%)	0 (20% * 0)	80 (20% * 400)
IIR Top-up Tax	0 (0 – 0)	0 (Max (0, 60 – 80))
Total Tax	0	80

*All figures are in USD.

These examples show that if a source country cannot adopt a QDMTT at a rate above 15%, it is forced to choose between offering zero tax on the SBIE amount and its preferred higher rate on the amount of Excess Profit.³² By allowing source countries to adopt a QDMTT at a rate above 15%, source countries can impose taxation on Excess Profits above 15% without removing their ability to offer below-minimum taxation on amounts of SBIE.

³² Readers may question whether instead of allowing a higher rate under a QDMTT, the source country should not be able to simply achieve these same outcomes under the Corporation Tax. The merits of such a design are addressed in Devereux, Vella and Wardell-Burrus, above n 18, Section 6.2.

A secondary benefit of this proposal is that it allows source countries to leverage the GloBE tax base. This could potentially provide a simplification benefit by allowing developing states to offer (if they chose) the benefit of a single tax base for their jurisdiction. If a source country has a Corporation Tax, MNEs will be required to apply two tax bases to the same jurisdiction.³³ By allowing the source jurisdiction to adopt a QDMTT at a higher rate than 15%, the jurisdiction can impose a single tax base.³⁴ This could provide a simplification benefit for MNEs operating in that jurisdiction.

It is important to note that there would be downsides for a state which wanted to use the GloBE Rules as their sole tax base. The GloBE Rules are generally designed as a top-up tax and there are occasions where the GloBE Rules effectively defer to the local tax treatment. The most obvious example is timing differences. The GloBE Rules rely upon deferred tax accounting to prevent the GloBE base from unwinding beneficial timing differences. However, these rules rely upon there being an existing Corporation Tax in order to generate the requisite deferred tax liabilities. A state which solely adopted the GloBE rules would give up the ability to offer these timing difference benefits. Furthermore, there are other reasons such as treatment under the anti-hybrid rules or subject to tax rule which provide disincentives for adopting the GloBE Rules as a sole tax base.³⁵ Of course, a state could adopt a QDMTT at a rate above 15% without removing their Corporation Tax.

This proposal is closely related to the first proposal and turns on the same basic principle – the requirement for a domestic minimum tax to raise the tax rate on Excess Profits to the minimum only imposes a minimum threshold requirement. An alternate minimum tax is not prevented from being a QDMTT simply because it imposes a higher additional tax burden. Under the first proposal, this outcome arises by not taking into account CFC taxes in calculating the ETR for the jurisdiction. Under this proposal, the outcome arises by imposing a higher tax rate. These distinctions could be conceptualized as a necessarily higher top-up tax because they respectively apply to a broader base or a higher rate. Despite this common thread, these two proposals have been addressed separately because it seems plausible that one could be adopted without the other. A view could be taken that a broader base for the tax was allowed but a higher rate was not, and vice versa.

³³ This is true even if the source jurisdiction does not adopt the QDMTT as the GloBE Base will apply at the IIR level. The only exception will be if a simplification measure is applicable (and upon which MNEs are willing to rely) which means that no top-up tax calculation is required for the jurisdiction.

³⁴ This sets to one side the possibility that other tax bases may also apply (such as the US tax base under the GILTI regime).

³⁵ See Devereux, Vella and Wardell-Burrows, above n 18, Section 5.1.

There should be no policy objection to a source country applying its own, higher domestic minimum tax. Source countries would be entitled to do this already under existing law and there is no policy reason why a source country should not be entitled to impose a QDMTT at above 15%. The Pillar Two rules have always recognized the right of the source country to ‘go first’ in imposing source-based tax. Explicitly recognizing the right of source countries to utilize the GloBE base to impose taxes of above 15% would encourage developing countries to consider the rate which they would like to adopt rather than merely accept the minimum rate.

Proposal 3 – Opt-out of simplification measures

The third proposal is that developing countries which adopt QDMTTs ought to be able to ‘opt-out’ of having their jurisdiction fall within a GloBE simplification regime. If a source country were to do so, the MNE would be required to complete the full GloBE calculation and provide it to the relevant IIR jurisdiction. The purpose of this rule would be to allow developing countries to leverage the implicit threat of a review from the IIR jurisdiction’s tax administration. This would increase the integrity of the QDMTT tax base and should be open to source countries (or at least developing countries as a subset of source countries) which have adopted a QDMTT including one which has a broader tax base (as per Proposal 1) or a higher tax rate (as per Proposal 2).

While the GloBE rules created an ordering rule between top-up taxes which goes (1) QDMTT, (2) IIR and (3) UTPR, there is an importance difference between the way the IIR gives priority to the QDMTT and the way in which the UTPR gives priority to the IIR. Where there is an applicable IIR which covers the undertaxed income, the UTPR is *turned off* with respect to the relevant amount of top-up tax.³⁶ The amount of the IIR Tax is not subtracted from (or credited against) the UTPR liability of the same amount. The UTPR is simply not applicable with respect to that income. That is, if there is an applicable IIR, there is no UTPR Top-up Tax at all. This is true even if the IIR jurisdiction applies the rules incorrectly and does not impose the full top-up tax liability required under the GloBE Rules.

The interaction between the IIR and the QDMTT is importantly different. the QDMTT liability is subtracted from the amount of IIR which is otherwise owed.³⁷ The MNE’s IIR top-up tax liability is effectively equal to the total top-up tax liability less any QDMTT which has been paid. This is the case even though the

³⁶ In the words of the GloBE Rules, the UTPR Top-up Tax ‘shall be reduced to zero’. See GloBE Model Rules, Art. 2.5.2.

³⁷ GloBE Rules, Art. 5.2.3.

amount of the QDMTT should generally reduce the amount of IIR Top-up Tax to nil.³⁸ The existence of a QDMTT does not switch off the IIR. If the QDMTT jurisdiction incorrectly applies the GloBE Rules and imposes less than the full amount of required top-up tax, the remaining amount will be owed to the IIR jurisdiction.

Against this background is the question of what simplification methods ought to be available which mean that an MNE does not have to conduct the full GloBE calculation and provide it to the IIR jurisdiction. One suggestion has been that where a country has adopted the QDMTT, there should be a simplification measure which means the jurisdiction can be ignored for the purposes of applying the IIR.³⁹ This suggestion has initial appeal as the existence of a QDMTT means that there should, in principle, be no additional IIR Top-up Tax. However, Proposal Three is to allow MNEs which have adopted a QDMTT (even with a higher rate than 15%) to opt out of having their jurisdictions subject to simplification measures (either on this ground or any other ground). This means that, despite it being very unlikely that any additional IIR tax will be owed, an MNE could not use a simplification measure.

By requiring the MNE to provide the calculation to the relevant IIR jurisdiction (that is, preventing the MNE from using a simplification mechanism), the MNE would need to show the IIR jurisdiction's tax administration that it had paid enough tax to the relevant developing source country. The calculation which was required for determining the domestic tax base of the developing country would need to be provided to the IIR jurisdiction and the IIR jurisdiction would have full authority to review that calculation as part of considering any IIR tax liability on the MNE. Importantly, even if the IIR jurisdiction does not actually review the relevant calculation, the fact that the calculation and relevant materials must be provided to the IIR jurisdiction may change the dynamic for the MNE. MNEs may have quite different relationships with sophisticated tax administrators in IIR jurisdictions as opposed to relationships with low capacity developing country tax administrators. The mere implied threat that the IIR jurisdiction's tax authority may review the relevant GloBE calculation for the developing country could increase the likelihood that the developing country receives the full tax revenue to which it is entitled under its QDMTT.

It may be argued that this proposal would deprive MNEs of a valuable right to rely upon simplification measures which are to be agreed by the Inclusive Framework. However, source countries are entitled to

³⁸ Note that differences can arise if the source country adopts a QDMTT which applies a different set of accounting standards to those required to calculate the IIR under the GloBE Rules.

³⁹ This suggestion was noted by Noam Noked who credits Jesse Kavanaugh for the idea. See Noam Noked, 'The Case for Domestic Minimum Taxes on Multinationals', *Tax Notes International*, 7 February 2022, p. 669.

require MNEs to conduct such calculations to determine their domestic tax base (in this case, the QDMTT). Accordingly, the impacted MNEs would be required to perform the full calculation of the GloBE base under the domestic law of the source country. There would be no compliance cost saving for the MNE as the full calculation is already required under the domestic law of the source state. The only difference is that the MNE is still compelled to provide this calculation to the IIR jurisdiction.

This proposal would offer developing countries a choice. They could, of course, choose to have their jurisdictions subject to agreed simplification measures (if the other agreed criteria for simplification are met). Developing countries may choose to do this to minimize the compliance cost for the MNE of operating in their jurisdiction. However, this proposal gives developing countries the option of ‘opting-out’ of the simplification procedure, in case they think that it is to the benefit of the integrity of their tax systems.

Conclusion

The 8 October Statement emphasized the importance of the STTR for developing countries. As Part One of this article has explained, we should temper any expectations that the STTR will raise significant revenue for developing countries. Accordingly, in order to ensure ongoing support for Pillar Two from developing countries, every effort should be made to ensure that Pillar Two implementation occurs in a manner which gives developing countries further reasons to support the agreement.

This paper has raised three potential proposals for further exploration and consideration. Under the first proposal, source countries would be entitled to adopt a QDMTT which applies ahead of any CFC regime (or other applicable cross-jurisdictional tax). This would prevent source countries from needing to choose between imposing the minimum total tax allowed under the GloBE Rules and ceding revenue to CFC jurisdictions.

Under the second proposal, source countries would be entitled to adopt a QDMTT which applies at a higher rate than 15%. This would allow source countries to adopt a below minimum tax rate with respect to SBIE (as they are entitled to do under the GloBE Rules) whilst also imposing an above minimum tax rate with respect to Excess Profits. This gives source country a greater ability to leverage the domestic tax base to achieve domestic aims without undermining the floor imposed under the GloBE rules. The first two proposals could also be construed as two extensions of the same basic proposal – to allow for a QDMTT which imposes a greater amount of tax than the minimum under the rules. The current drafting is ambiguous as to whether or not this is allowed. Adopting the first two proposals would therefore involve

clarifying in additional guidance that these design elements would not prevent a domestic minimum tax from being a QDMTT.

The third proposal would allow source countries (or at least developing countries) which have adopted a QDMTT to opt-out of the simplification mechanisms otherwise agreed as part of the implementation of the GloBE Rules. This rule would allow developing countries to use the GloBE tax base and leverage the implicit threat of review from the IIR jurisdiction's tax administration. In an ideal world, there would be no difference in the GloBE calculation whether or not it is to be provided to the IIR jurisdiction's tax administration. However, the fact that the full GloBE calculation is to be provided to the IIR jurisdiction has real potential benefits in improving the integrity the tax base of developing countries which have chosen to rely upon the QDMTT. This option should be available even if the relevant source country has imposed a QDMTT rate above 15% (as suggested under Proposal 2) or with a broader base (under Proposal 1).